

Beyond the Dollar: Can Pakistan Trade More in Yuan?

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Pakistan has local RMB settlement and clearing arrangements, a standing currency swap with China and, since May 2026, its first sovereign Panda Bond. Much of the commentary frames these as dedollarisation, but that framing says little to a Chinese manufacturer deciding how to invoice a Pakistani buyer or fund a local subsidiary. This insight asks a narrower question: which banks can actually facilitate RMB transactions in Pakistan, what operational advantages and limits does direct RMB settlement carry, and how far does settlement capability extend into usable liquidity and financing? It does not forecast how much of Pakistan's China trade will shift into RMB. It asks what would have to be true for that shift to become routine rather than exceptional. The answer offered here is that the binding constraint sits one layer below settlement, in liquidity and financing, where the public evidence thins out sharply.

Context

Three terms recur below and are used precisely. **Settlement** is the act of paying and receiving funds in RMB for a given transaction. **Clearing** is the bank level infrastructure, meaning correspondent accounts, netting and processing, through which that settlement passes. **Liquidity** is the depth of RMB funds actually available within Pakistan's financial system, whether held as bank deposits, accessible through the interbank market, or drawn from the central bank swap described below. The distinction between the three, rather than any one of them alone, is the organising question of this insight, and the argument that follows is that Pakistan has built the first two further than the third.

Pakistan's RMB settlement infrastructure has developed in stages. The State Bank of Pakistan (SBP) first authorised Industrial and Commercial Bank of China Limited (ICBC) to establish a local CNY settlement and clearing mechanism in 2015; this date is reported in secondary accounts rather than in a primary SBP document identified for this insight, though SBP's own April 2018 circular describes itself as *expanding* an existing mechanism, which is consistent with the earlier authorisation.^{1,2} That April 2018 circular authorised Bank of China Pakistan to establish a local CNY settlement and clearing setup, enabling it to open CNY accounts for banks and to provide liquidity to the interbank market.² The People's Bank of China (PBoC)

subsequently designated ICBC Karachi Branch as the RMB clearing bank for Pakistan under Announcement No. 15 [2022]; SBP publicly confirmed the designation in October 2023 at the event marking it.^{3,4} The 2022 announcement is the decision and October 2023 its public launch, which resolves an ambiguity that earlier accounts left open.

ICBC's role extends beyond basic settlement. ICBC reports that its Karachi branch launched the RMB clearing mechanism in Pakistan and enables commercial banks to handle RMB business through accounts maintained with that branch.⁵ Bank of China Pakistan's published materials list RMB trade settlement across borders together with letters of credit, documentary collection, telegraphic transfers and guarantees.⁶

One layer below the banks sits the network they clear over. Settlement of RMB across borders runs through the Cross-Border Interbank Payment System (CIPS), China's dedicated RMB clearing and settlement network, rather than through the dollar correspondent chain. A bank's CIPS status, whether direct participant, holding its own account in the system, or indirect participant, reaching the system through a direct participant, is the most concrete publicly checkable indicator of what its RMB capability amounts to operationally, and expanding Pakistani banks' CIPS participation has been raised publicly as a priority for the local banking sector.⁷ CIPS participant status is published; almost every other indicator discussed below is not. That asymmetry is worth noting, because it means a firm can verify the rails more easily than it can verify the funding.

Reported usage of RMB in Pakistan's trade with China has risen. SBP reported in October 2023 that RMB denominated imports *from China* had increased from about 2 per cent of Pakistan's imports from China in FY2018 to around 18 per cent in FY2022. The denominator is bilateral imports, not Pakistan's total import bill; the two readings differ by roughly an order of magnitude.⁴ More recent public data on the RMB's share of bilateral trade were not identified for FY2023 to FY2026, so whether this trend has continued, plateaued or reversed cannot be established from the sources available.

The shift has been accompanied by a broader effort to diversify Pakistan's access to financing outside the dollar. In May 2026, Pakistan issued its inaugural Panda Bond of CNY 1.75 billion, approximately

USD 258 million, supported in part by guarantees from the Asian Development Bank (ADB) and the Asian Infrastructure Investment Bank (AIIB).^{8,9} Behind this sits the bilateral currency swap arrangement between SBP and the PBoC. SBP's financial statements for FY2025 record the arrangement at CNY 30 billion, a size reconfirmed under a fresh three year renewal announced by the PBoC on 16 October 2024.^{10,11} The swap provides a central bank liquidity backstop; it is distinct from the commercial clearing facilities available to individual firms, a distinction the next section develops.

Settlement Is Cheaper to Describe Than to Prove

The immediate practical benefit of RMB settlement is straightforward. Under a conventional route, a Pakistani importer buying Chinese machinery may convert rupees into dollars and then dollars into RMB, creating two points of foreign exchange exposure and potentially two layers of transaction cost. Direct RMB settlement removes the dollar conversion leg and fixes the invoice currency in advance. That part is arithmetic, not a claim requiring evidence. Whether it also lowers *total* transaction cost is a separate question, and it depends on the relative depth and spread of the RMB to PKR market compared with the USD to PKR and USD to RMB legs it replaces, which this insight does not quantify. Fewer conversions is not, on its own, proof of a lower total cost. SBP itself has identified faster turnaround, reduced cost for the local banking system and more competitive pricing of bilateral trade transactions as benefits of a local RMB clearing mechanism; these are stated policy expectations rather than measured outcomes.⁴

Two Layers, Routinely Confused

The more important constraint is structural rather than transactional. Pakistan runs a persistent trade deficit with China, which limits the ability of the domestic banking system to accumulate RMB organically through exports. Carnegie's 2020 analysis, a secondary source predating ICBC's clearing bank designation and the subsequent build out, identified three related constraints: low awareness of RMB operations across borders, limited local RMB liquidity, and the absence of a broad range of standard RMB financing products such as export and import credit, project finance and short term working

capital facilities.¹² Whether these constraints have since eased is not established in current public data.

Clearing capacity and liquidity support are therefore two different layers of the same system, and conflating them is the most common error in local commentary. A bank authorised to clear RMB provides the commercial infrastructure through which a transaction can be settled on a given day. The bilateral swap, by contrast, is a sovereign liquidity backstop between central banks; it is not a facility an individual company can draw on.¹⁰ SBP's historical drawdowns under the swap have at times approached its full ceiling. A CNY 30 billion drawdown in FY2022, matching the facility's current size, is recorded in AidData's Global Chinese Development Finance dataset, a third party research estimate rather than an SBP disclosure.¹³ On the evidence available, ARS judges that continued reliance on the sovereign backstop, rather than a self sustaining private RMB liquidity pool, remains the more plausible reading. This is an analytical judgment, however, and the onshore deposit data that would settle it are not published.

Capability Is Not a Committed Facility

A third name appears in most accounts of Pakistan's RMB capability: Standard Chartered. Its group level materials describe the Pakistan franchise as part of a broader RMB network operating across borders.¹⁴ This insight could not confirm from public sources which specific RMB products Standard Chartered Pakistan offers locally, as distinct from access to the group's international network. That gap is itself a finding rather than a footnote. Two banks hold local clearing arrangements authorised by SBP; a third advertises connectivity at group level. Counting all three as equivalent "RMB capable banks" is precisely the substitution of advertised capability for confirmed capability that this insight cautions against, and it is common in published summaries of Pakistan's RMB position.

The same distinction applies to financing. The presence of RMB clearing infrastructure means an invoice can be settled in RMB; it does not mean RMB trade finance, project finance or working capital will be available on standard terms. Bank of China Pakistan lists a range of RMB settlement and trade finance products, but the availability,

pricing and credit limits applicable to any particular transaction still depend on the bank and the client's circumstances.⁶ A listed product is a starting point for a conversation, not a committed facility.

The Counterparty Has a Vote

The case above has been argued from Pakistan's side of the transaction. It also depends on the Chinese counterparty. A Chinese exporter's willingness to invoice in RMB rather than USD is not automatic: many Chinese firms with global supply chains have their own reasons to prefer dollar invoicing for consistency across markets, and this insight did not identify published survey or transaction level evidence of Chinese exporters' actual invoicing preference for Pakistan specifically. Nor does the settlement mechanism by itself remove currency risk. An invoice fixed in RMB still exposes whichever party holds the open position to movements in the RMB to PKR rate, and to the availability and cost of hedging that exposure. Removing a conversion step and removing currency risk are two different claims, and only the first is demonstrated here.

The Panda Bond Is a Different Instrument

Pakistan's Panda Bond illustrates a related but distinct move toward RMB based capital market engagement. The CNY 1.75 billion issue was supported by ADB and AIIB guarantees, publicly described as less than full coverage and as the first such partially guaranteed structure to achieve a domestic AAA rating, and is intended to diversify Pakistan's external financing sources while supporting sustainable infrastructure.⁸ That a partial multilateral guarantee was needed to secure an investment grade rating suggests Pakistan's standalone sovereign credit could not yet clear that bar on its own; ARS reads the issuance as evidence of capital market access with multilateral support rather than as evidence that the RMB has become part of Pakistan's wider financing architecture in its own right. It is also a capital markets instrument, mechanically separate from the trade settlement infrastructure discussed above.⁹

Implications

For a medium sized Chinese manufacturer, the practical implication is that RMB settlement is now a usable option rather than a purely policy initiative. Established clearing arrangements at ICBC and Bank of China, and Bank of China's published RMB trade finance services, mean a firm has more than one channel to approach for an RMB transaction.^{4,5,6} Having a channel to ask, however, is not the same as holding a committed facility, and the difference is where most of the commercial risk sits.

A firm seeking an RMB denominated trade facility, letter of credit or working capital line should not assume that clearing capability implies financing capability. The relevant questions are whether the bank can provide the product in RMB, what collateral or credit support it requires, how the facility is priced, and how the bank manages RMB liquidity during periods of foreign exchange stress. The underlying swap arrangement is intended to provide resilience to the system, but it remains a finite policy instrument rather than a permanent substitute for a deep domestic RMB market.^{10,12}

FIVE QUESTIONS THAT DETERMINE WHETHER RMB SETTLEMENT SUITS A TRANSACTION

1. In what currency are the firm's own funding and procurement denominated?
2. Which specific product, tenor and price will a bank confirm in writing and on a dated basis, rather than merely list as a capability?
3. Is the Pakistani counterparty's own revenue in RMB, USD or PKR?
4. What is the cost and availability of hedging the RMB to PKR exposure over the invoice to payment window?
5. How would settlement be affected if RMB liquidity tightened during a period of stress?

A transaction that scores well against most of these is a reasonable candidate for RMB settlement. One that does not should default to USD until the specific gap is resolved.

The Way Forward

Two practical steps follow. First, a Chinese firm evaluating Pakistan should not rely on a bank's general capability statement. Before committing, it should obtain written, dated confirmation of the specific product, tenor, pricing and credit limit on offer at that time, from the banks holding local clearing arrangements and, where relevant, from Standard Chartered Pakistan as to what it can provide locally rather than through the group.^{5,6,14} Bank level product confirmation, not bank level product awareness, should be the commercial due diligence standard.

Second, three indicators would let firms and researchers track the system's progress from capability to capacity, rather than relying on qualitative impressions: the utilisation rate of the CNY 30 billion swap facility relative to its ceiling; the size of Pakistan's onshore RMB deposit base; and the CIPS participation status of Pakistani banks, distinguishing direct from indirect participants. The third is already public; the first two are not published on a regular basis. SBP publishing them twice a year would convert the question this insight raises, whether Pakistan can move from settlement capability to routine RMB usability, into one that can be answered with numbers rather than argued qualitatively.^{4,7,10,12}

A Note on Method and Limitations

This insight relies primarily on official central bank, multilateral and bank published announcements, supplemented by one secondary analysis (Carnegie, 2020) for its account of structural liquidity and financing constraints, and by press reporting for the 2015 ICBC authorisation, for which a primary SBP document was not identified. Three gaps are material and are flagged once here rather than repeated through the text. First, the Carnegie analysis predates ICBC's clearing bank designation, and whether its findings still hold in 2026 could not be independently confirmed. Second, current data on Pakistan's onshore RMB deposit base, interbank RMB liquidity, and RMB to PKR pricing relative to the conventional USD route were not identified in the public domain at the time of writing. Third, Standard Chartered Pakistan's local RMB product range could not be confirmed as distinct from its group network.

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Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA. His professional background spans business strategy, international trade, economics and organizational leadership. His research focuses on public policy, governance, strategic communication, and the relationship between technology, institutions and society.